PORTER'S VALUE CHAIN

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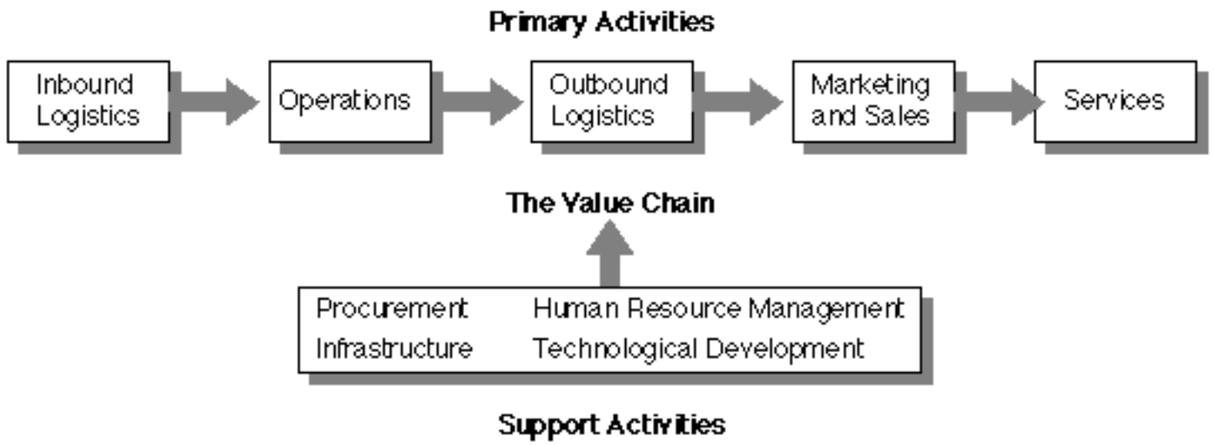
The Porter Value Chain is a concept developed by Michael E. Porter in his 1985 book "Competitive Advantage: Creating and Sustaining Superior Performance." It is a framework that helps businesses analyze their internal activities to identify areas where they can create value and gain a **competitive advantage**. The value chain breaks down a company's activities into **primary** and **support** activities, allowing organizations to understand how each contributes to the overall **value** delivered to customers.

Components of the Value Chain

1. **Primary Activities**: These are the activities directly involved in creating and delivering a product or service. They include:
    - **Inbound Logistics**: Receiving, warehousing, and inventory management of raw materials.
    - **Operations**: Processes that transform inputs into the final product or service.
    - **Outbound Logistics**: Activities required to get the finished product to the customer, including storage and order fulfillment.
    - **Marketing and Sales**: Strategies and activities to promote and sell the product or service.
    - **Service**: Activities related to maintaining and enhancing the product's value after purchase, such as customer support and repair services.
2. **Support Activities**: These activities help enhance the effectiveness and efficiency of primary activities. They include:
    - **Procurement**: The process of acquiring the goods and services a company needs to carry out its operations.
    - **Technology Development**: Activities related to managing and developing technology, including research and development, process automation, and product design.
    - **Human Resource Management**: Activities related to recruiting, hiring, training, and developing the workforce.
    - **Firm Infrastructure**: Organizational structure, management, planning, finance, and quality control systems that support the entire value chain.



Purpose of the Value Chain

The primary purpose of the Porter Value Chain is to help organizations identify areas where they can *improve efficiency*, *reduce costs*, and *enhance differentiation*. By analyzing each component of the value chain, companies can pinpoint strengths and weaknesses, optimize processes, and ultimately create more value for customers, leading to a competitive advantage in the marketplace.

Application

Businesses can use the value chain analysis to: - Identify cost advantages or areas for improvement. - Understand how different activities contribute to customer value. - Develop strategies for competitive advantage based on unique strengths. - Align resources and capabilities with market demands.

Recap

The Porter Value Chain is a valuable tool for strategic planning and operational improvement, helping organizations to better understand their internal processes and how they relate to customer satisfaction and competitive positioning.

Support Activites

FIRM INFRASTRUCTURE

- Company's support system and the functions that allow it to maintain operations.
- Includes all legal, administrative and accounting.

HUMAN RESOURCES MANAGEMENT

- Hiring and retaining employees who will fulfill business strategy, as well as help design, market, and sell the product.
- Involve in the process of delivering the finished product.
- A source of competitive advantage when customer purchasing a service.

TECHNOLOGY DEVELOPMENT

- Research and development helps designing the product and improving and automating the process.
- For example, a business working towards to reduce the inventory and labor waste by implementing RFID technology in warehouse to improve overall stock accuracy and minimize labor tasks.

PROCUREMENT

- Process of acquisition of inputs, raw materials or resources, for the firm.
- This relates heavily to inbound logistics where company is looking to resale the goods they procure. For example in case of an e-commerce business.

Primary Activites

INBOUND LOGISTICS	OPERATIONS	OUTBOUND LOGISTICS	MARKETING SALES	SERVICE
This include the receiving, warehousing and inventory control of a company's raw materials. It also covers the relationship required with the supplier.	Procedures required for converting raw materials or resources into a finished product or service.	Activities and system required to distribute a final product to a consumer	Strategies to enhance visibility and target appropriate customers—such as advertising, promotion, and procing.	Activities required to maintain products and enhance consumer experience after sale of product or service.

Margin

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